ABC News (Jacob Greber, 7 Nov) · The Nightly (4 Nov)
HSC Economics news explainer · 10 November 2026

Should the budget be tightened in December's update?

With the RBA raising rates, some commentators want the government to cut spending in the December mid-year economic update (MYEFO). ABC political editor Jacob Greber argues it is **the right prescription at the wrong time**.

WHAT HAPPENED

- Compared with before the pandemic, government spending has risen from under 25% to **over 26% of GDP**.
- Former RBA board member Warwick McKibbin told 7.30 this level of spending is not a problem while inflation and interest rates are low.
- Governor Bullock says monetary policy **cannot affect global oil prices**, and the RBA is targeting domestic capacity pressures.
- Greber says the RBA is forecasting a collapse in business investment in the second half of 2027, and the deficit is already narrowing faster than the May Budget forecast.
- Minister Clare O'Neil has confirmed a savings package for the December update, which she called a "mini budget". Its priorities are lower spending, cost-of-living relief that doesn't add to inflation, and productivity.

>26%
government spending as a share of GDP (pre-pandemic: under 25%)

4.85%
RBA cash rate after the 3 November rise

Dec
timing of the mid-year update and savings package

Fiscal stance: whether the budget is adding to (expansionary) or subtracting from (contractionary) demand

MYEFO: the Mid-Year Economic and Fiscal Outlook, a mid-year update of the federal budget

COMPARE Should fiscal policy tighten now?

Case for spending cuts

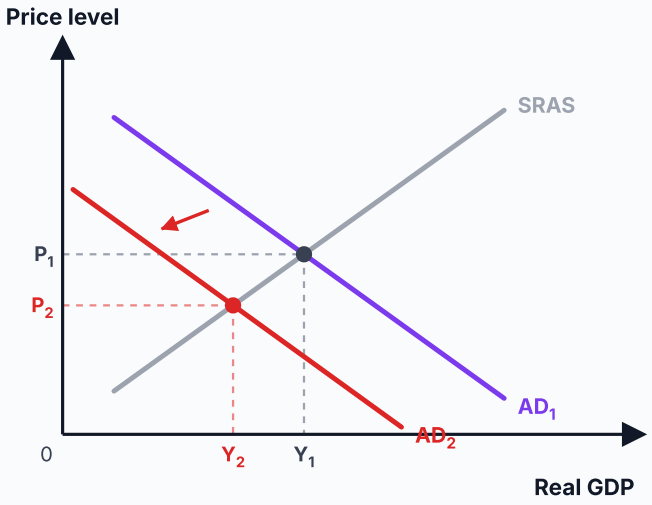
- Spending is above pre-pandemic levels
- Cutting spending would help the RBA reduce inflation
- Higher rates hurt mortgage holders; fiscal policy could share the load

Case against (Greber)

- The deficit is already narrowing faster than forecast
- The RBA expects business investment to collapse in late 2027
- House prices have fallen more than Treasury expected

Exam angle: the **policy mix** matters. If fiscal and monetary policy both tighten into a slowdown, the combined effect on growth and jobs could be larger than intended.

DIAGRAM Tightening both policies shifts AD further left



Higher rates already reduce consumption and investment. Spending cuts would reduce G as well, shifting AD further from **AD_1 to AD_2**.

The price level eases (**P_1 to P_2**), but real GDP falls (**Y_1 to Y_2**) and unemployment rises.

SYLLABUS LINK

Topic 4: fiscal policy, including the budget stance, MYEFO and the coordination of fiscal and monetary policy.

TRY THIS (6 MARKS)

Evaluate whether both fiscal and monetary policy should be contractionary in Australia in late 2026.

Read more: ABC News, Greber, 7 Nov · The Nightly, 4 Nov

Diagrams are illustrative, not to scale